

Procure Space ETF

SPCX NASDAQ

Buy	\$146.35 ▼ 1.57%	12M Price Target \$175.00	52-Week Range \$104.83 – \$225.64	Market Cap \$1.93T
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SPCX: Starship Success Reignites Space Trade, But Iran Risk Weighs

WHAT HAPPENED

- SPCX is down 1.57% today despite genuinely huge news — SpaceX's Starship reached orbit and deployed 26 Starlink satellites. That should be a rocket-fuel headline for the space complex, so the fact that it's DOWN tells you the selling is macro-driven (rising Treasury yields + US-Iran deadlock spooking risk assets), not sector-specific.
- Options flow is screaming bullish — call volume is 2x put volume, and someone bought 32,000 October \$150 calls (a bet the stock rips above \$150 in the next few weeks). Smart money is using this dip to position for a bounce.

WHY IT MATTERS

The disconnect between fundamentals (Starship success = massive validation of the space economy) and price action (down on Iran/yields) is your opportunity. When a stock ignores good news, it usually means it's being held hostage by macro fear — and macro fear passes. The Starship orbital milestone is a big deal because it de-risks the entire heavy-lift launch market, which unlocks cheaper deployment for every satellite company in SPCX's basket (Iridium, Rocket Lab, Planet Labs, etc.). Also worth noting: the stock is sitting at just 34% of its 52-week range (\$104-\$225), meaning it's closer to the lows than the highs — you're not chasing.

POLICY & POLITICAL WATCH

The big political tailwind is the FY2027 defense authorization working through Congress, which includes a proposed Space Force budget increase to ~\$35B (up from ~\$29B) — that's direct revenue for SPCX holdings like Rocket Lab and satellite defense contractors. The Trump administration has also been aggressive on commercial space deregulation (faster FAA launch licensing), which speeds up revenue cycles. Watch-out: the US-Iran situation could push Congress to redirect discretionary spending toward Middle East operations rather than space — that's the near-term headwind pressuring the whole complex today.

IS IT EXPENSIVE?

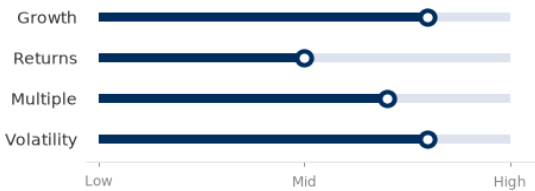
SPCX trades as a basket, so traditional PE doesn't apply cleanly — but the underlying holdings trade at roughly 6-8x forward sales on average, which is rich compared to broader industrials at ~2x. That premium is justified IF launch cadence keeps accelerating and government contracts keep expanding — both of which are happening. At \$146 with a 52-week high of \$225, you're paying about 65 cents on the dollar versus peak optimism, which is a reasonable risk/reward.

WHAT COULD GO WRONG

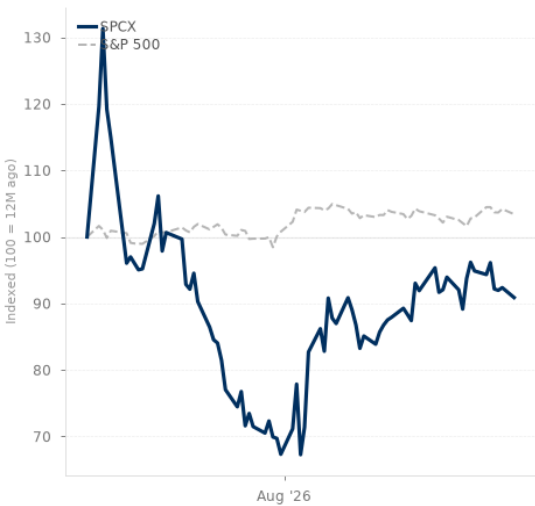
Key Data

Price (USD)	\$146.35
12M Price Target	\$175.00
Upside / (Downside)	+19.6%
Market Cap	\$1.93T
FY2026E Revenue	—
FY2027E Revenue	—
FY2026E EPS	N/M
FY2027E EPS	N/M
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$158.00	\$150.00	\$138.00
6 Months	\$180.00	\$165.00	\$130.00
1 Year	\$210.00	\$175.00	\$125.00
2 Years	\$260.00	\$200.00	\$120.00
5 Years	\$400.00	\$290.00	\$140.00
10 Years	\$650.00	\$450.00	\$180.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare and Consumer Staples — classic defensive rotation as investors get nervous about Iran and rising yields. Money is hiding, not chasing growth.

COOLING OFF: Utilities (-3.34% over 5 days) and Real Estate (-2.95%) — both are getting killed by rising Treasury yields since they compete with bonds for income-focused investors.

ROTATION WATCH: Money is moving defensive today, which is a headwind for a growth-y ETF like SPCX. But when defensive rotations exhaust themselves (usually within 1-3 weeks), space and tech tend to snap back hard because the fundamental story hasn't changed.

RELATED PLAY: If SPCX runs, watch the satellite communications names and defense primes (Lockheed, Northrop) that build the payloads — they're second-order beneficiaries of a launch-cost collapse.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): Direct beneficiary of Starship success — validates the entire small/medium launch thesis and lifts the whole peer group
- IRDM (Iridium): Satellite comms play that benefits from cheaper launches to refresh their constellation

SPCX CONTEXT: SPCX is lagging its individual best holdings today because ETFs get hit by broad de-risking flows more than single-stock momentum plays. That's actually a signal — when the tide comes back in, SPCX tends to catch up quickly because it's a "one-click" way for institutions to get space exposure.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — the long-term space thesis is intact and today's weakness is macro noise, but I'm not pounding the table with Iran risk unresolved.

POSITION SIZE: 3-5% of portfolio — meaningful enough to matter if it runs, small enough that a 20% drawdown doesn't wreck you.

ENTRY POINTS: I'd scale in — buy some at \$146, add at \$140 if macro fear intensifies, and load up if we ever see \$130.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is the FY2027 defense budget passage (early 2026) and continued Starship operational milestones.

WHEN TO BAIL: If Space Force budget gets cut materially, or if we see two+ major launch failures across top holdings, the thesis is broken.

HEDGING: Simplest hedge is just keeping some cash or Consumer Staples exposure — when SPCX gets hit on macro days, defensives usually hold up, so the pair softens the blow.